

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW OF THE NATIONAL
HIGHWAYS AND RAILWAYS

MODULE - 46



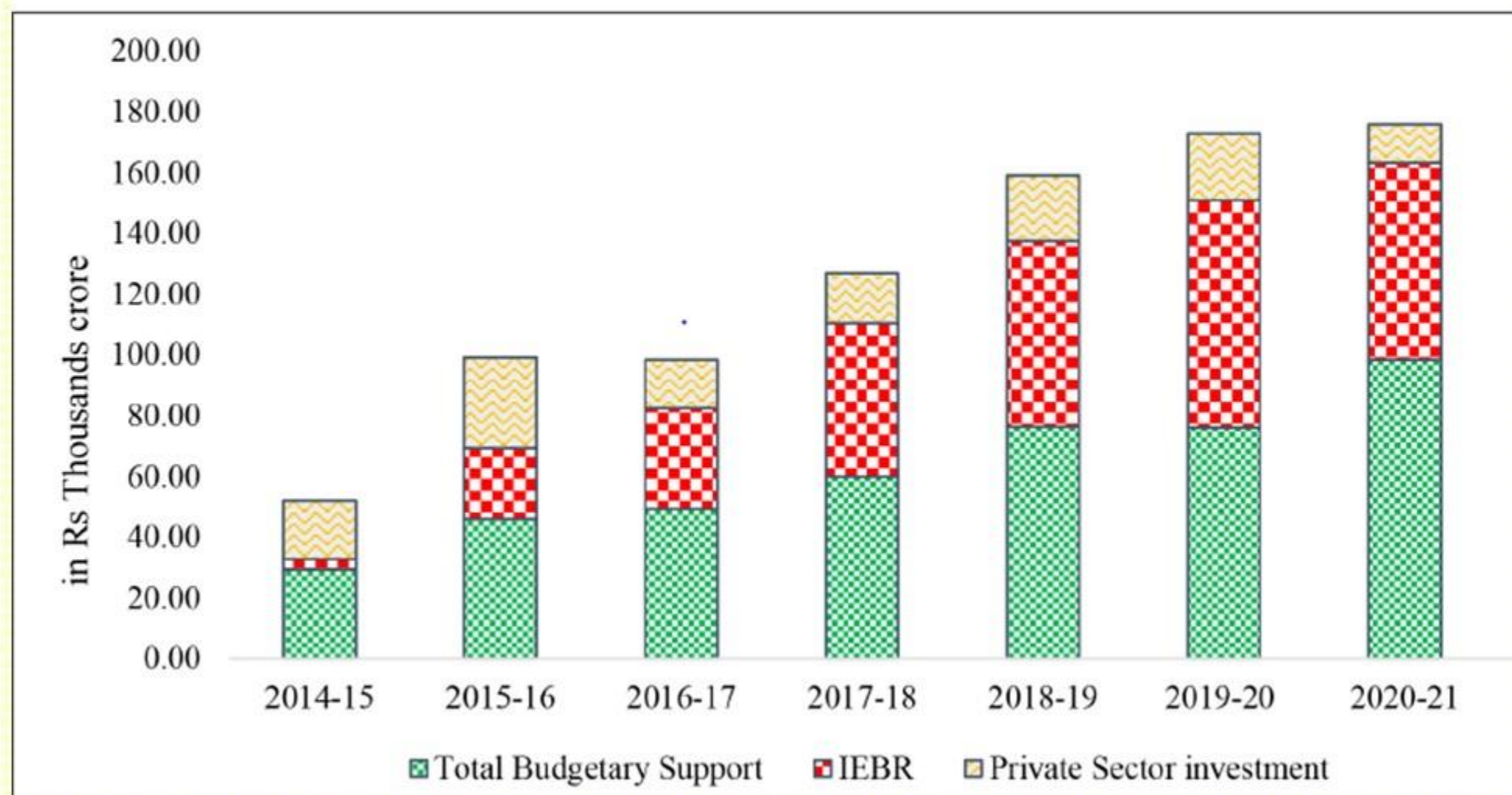
MASSIVE INCREASE IN THE CONSTRUCTION OF NATIONAL HIGHWAYS!

Figure 24: Road Construction



TOTAL BUDGETARY SUPPORT FOR THE HIGHWAYS HAS SEEN SIGNIFICANT INCREASE!

Figure 25: Investments in Roads sector



A BRIEF ABOUT INDIAN RAILWAYS

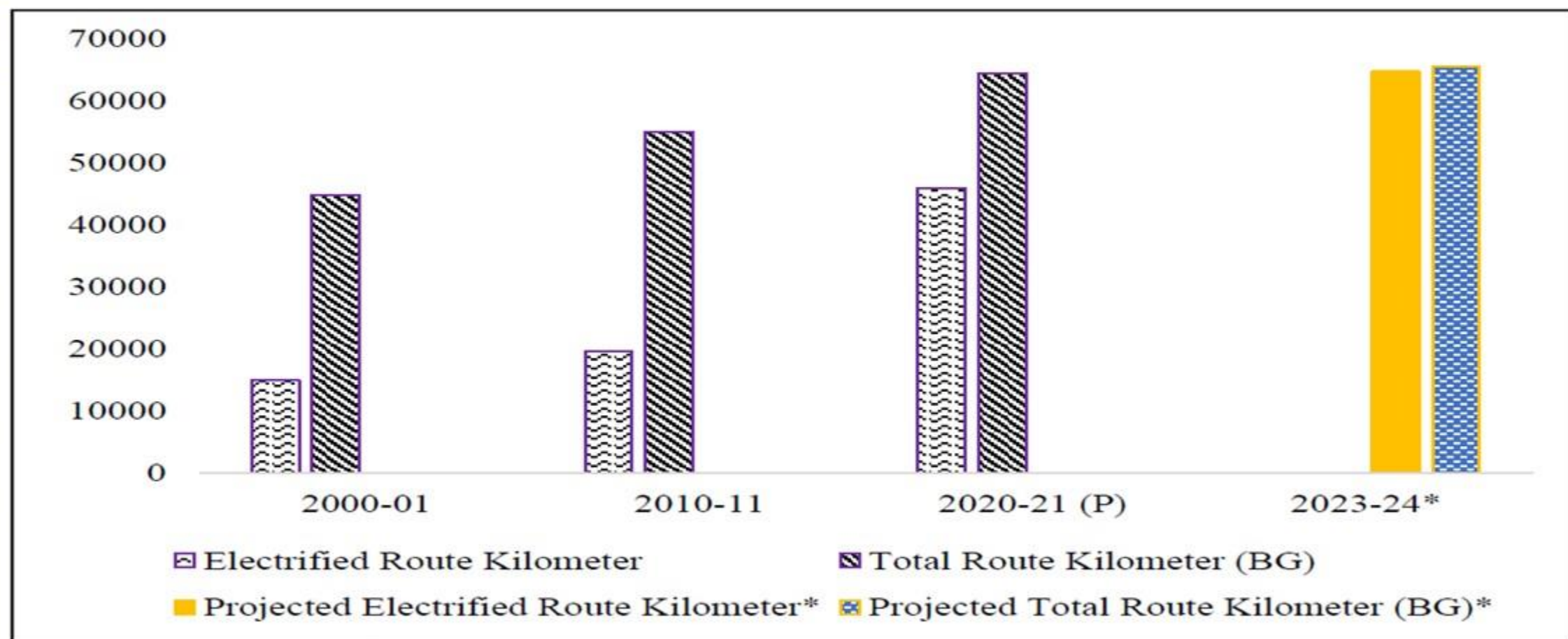


IR is adopting indigenous new technology such as KAVACH and going for ultra modern Vande Bharat trains and development of world class stations.

- Railways is one of the largest organizations in the country, not only operating passenger trains and freight trains, but also social institutions like hospitals and schools.
- As per World Bank data, in 2018 India had 68,443 route kilometers of Railways.
- It is among the four largest rail networks in the world, along with the USA, China and Russia.

MASSIVE INCREASE IN THE ELECTRIFICATION OF RAILWAYS

Figure 29: Electrified Route km as a percent of total route km



Source: Ministry of Railways. * Projections

Indian Railways is targeting for 100% electrification of its network by December 2023.

INDIAN RAILWAYS ... PERFORMANCE NOT ON THE EXPECTED LINES!

4

Inter-Departmental rivalry. Departments work in **silos** and look for their prominence, rather than the health of the organisation. However, now the **Government proposed Indian Railway Management Service**.

3

Air travel emerged as a serious competitor for 1st AC and 2nd AC classes.



WHY IS INDIAN RAILWAYS NOT ABLE TO IMPROVE OPERATING RATIO?



1

Politics are **involved** as the railways is **not able** to **raise** the **passenger fares** beyond certain point. **Suburban fares** are highly **subsidised**. The average earning per passenger per **kilometre** of a suburban train is just **18 paise**.

2

Cross-subsidisation is the real issue. It loses money on all classes of passenger services, other than a few like AC-3 tier and AC chair car. The losses are the highest for **sleeper class**, **second class** as well as for **ordinary trains**.



INDIAN RAILWAYS ... PERFORMANCE NOT ON THE EXPECTED LINES!

9 Most of the innovative proposals **remaining on paper** for several decades.

8 Lack of efficiency in the **mid-level management.**



5 Lack of dynamism in taking the decisions as it is a **Government entity.**

6 Fear of vigilance in carrying out **innovative practices.** A recent example is the vigilance case pertaining to **Vande Bharat Express.**

7 Lack of optimisation of staff and the **outcomes** are not commensurate with the number of staff.

WHY IS INDIAN RAILWAYS NOT ABLE TO IMPROVE OPERATING RATIO?





WHAT DO YOU KNOW ABOUT THE NATIONAL RAIL PLAN?

- It lays down the road map for capacity expansion of the railway network by 2030 to cater to growth up to 2050.
- It plans to increase the modal share of railways in freight to 40-45%, from the present level of 26-27%.
- The target of 40-45% modal share for railways is necessary from the perspective of sustainability and also from the national commitments made globally for reducing emission levels.

At present, the railway capacity is barely able to carry 1,220 MT annually and is around 26-27% of the modal share and the plan is to increase railway capacity to capture 40-45% of freight traffic.



GOVERNMENT APPROVED LONG-TERM RAILWAY LAND LEASE POLICY IN 2022

- The Government approved a policy on long-term leasing of railway lands for implementing the PM Gati Shakti programme.
- It facilitates setting up 300 cargo terminals and expected to generate 1.25 lakh jobs.
- The new policy will help to provide land lease for a longer period of up to 35 years as against 5 years at present.
- Similarly, land lease fee is cut down from 6% to 1.5%.

NEW LAND LEASE POLICY FACILITATES THE PRIVATISATION OF THE CONCOR!



The major reason for the lack of private sector appetite in the privatisation of Concor is the land lease policy!

- Concor is under the aegis of the Railway Ministry. It is engaged in transportation and handling of containers.
- It is also engaged in the operation of logistics facilities, including dry ports, container freight stations and private freight terminals.
- It has 61 container depots, out of which 26 are on the railway land leased on a per container licence fee basis.
- The Union Cabinet in November 2019 approved divestment of the government's 30.8% shareholding in the company along with the transfer of management control. The Government could not implement this till 2022.

NOT ONLY PRIVATISATION OF CONCOR ... THE NEW POLICY FACILITATES DEVELOPMENT OF TERMINALS WITH PM GATI SHAKTI!



The Optical Fibre Cable and other smaller diameter underground utilities, can cross railway tracks with a nominal onetime fee of Rs. 1,000!

- It gives impetus to the PM Gati Shakti initiative with cargo related activities.
- The new policy is expected to enable an integrated development of infrastructure and more cargo terminals.
- With the new policy in place, 300 PM Gati Shakti Cargo Terminals will be developed over the next five years and it is expected to create about 1.25 lakh jobs.
- The policy also simplifies railways' land use and Right of Way (RoW) for integrated development of public service utilities, such as electricity, gas, water supply, sewage disposal etc.

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